

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

A-level

ECONOMICS

Paper 2 National and international economy

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/2.
- In Section A, answer **EITHER** Context 1 **OR** Context 2.
- In Section B, answer **ONE** essay.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set B — Hard]

Section A

Answer EITHER Context 1 OR Context 2.

EITHER

Context 1

Total for this context: 40 marks

The UK exchange rate and trade performance

Study Extracts A, B and C and then answer **all** parts of Context 1 which follow.

Extract A: The sterling exchange rate and UK trade

Figure 1: Selected UK exchange rate and trade indicators

Year	Sterling effective exchange rate (2015 = 100)	£ / \$ rate	£ / € rate	UK current account balance (% of GDP)
2015	100.0	1.53	1.38	-4.8
2019	80.4	1.28	1.14	-2.5
2022	79.1	1.24	1.17	-2.1
2024	83.6	1.27	1.18	-3.5

Figure 2: UK trade in goods and services, 2024 Q2

Category	Exports (£bn)	Imports (£bn)	Net balance (£bn)
Goods — EU	44.2	58.1	-13.9
Goods — non-EU	42.6	57.9	-15.3
Services — EU	38.3	31.7	+6.6
Services — non-EU	63.4	36.8	+26.6

Source: Office for National Statistics / Bank of England, 2024

Extract B: Sterling, Brexit and export competitiveness

Following the June 2016 Brexit referendum, sterling fell sharply — by around 15% on a trade-weighted basis within six months. This depreciation was expected to raise the price of imports, boost UK export competitiveness and help reduce the current account deficit. In practice, the UK's trade performance since 2016 has been weaker than most forecasters predicted. Goods exports to the EU fell by around 8% in 2021 alone following the full implementation of Brexit trading arrangements in January 2021, with small firms hit hardest by new customs procedures and non-tariff barriers. Services exports have performed better, particularly to non-EU markets, reflecting the UK's comparative advantage in financial, legal and creative services.

Economists have long debated the responsiveness of UK trade flows to exchange rate changes. The Marshall-Lerner condition — that the sum of the price elasticities of demand for exports and imports must exceed one for a depreciation to improve the trade balance — is widely accepted, but empirical estimates suggest the condition holds only in the long run. In the short run, contracts are fixed in price and quantity, producing the "J-curve" effect in which the trade balance deteriorates before improving. For the UK, persistent non-price competitiveness issues — particularly in goods manufacturing — have weakened the response of export volumes to the currency depreciation.

Source: News reports, August 2024

Extract C: Policy responses and structural competitiveness

The UK's persistent current account deficit has been financed by capital inflows, reflecting the attractiveness of UK financial assets to global investors. Sterling's status as a reserve currency has given the UK some flexibility in managing its deficit, but economists warn this cannot continue indefinitely if net foreign liabilities rise too far. The UK's net international investment position worsened by around 10 percentage points of GDP between 2016 and 2023.

Successive governments have announced strategies to boost export competitiveness. These have included export credit guarantees, support for trade missions, and post-Brexit trade deals with Australia, New Zealand, Japan and the CPTPP group. Critics argue that these measures have been offset by the loss of frictionless trade with the EU — the UK's largest trading partner, accounting for around 42% of goods trade by value in 2024. Some economists argue that sustained competitiveness gains must come from structural improvements in productivity, skills and infrastructure, rather than from relying on exchange rate movements.

Source: News reports, September 2024

0 1 Using the data in Extract A (Figure 1), calculate the percentage change in the sterling effective exchange rate between 2015 and 2022. Give your answer to one decimal place. **[2 marks]**

0 2 Explain how the data in Extract A (Figure 2) suggest that the UK has a comparative advantage in the production of services rather than goods. **[4 marks]**

0 3 Extract B (lines 3–5) states that the depreciation 'was expected to raise the price of imports, boost UK export competitiveness and help reduce the current account deficit.'

With the help of an AD/AS diagram, analyse how a depreciation of sterling is likely to affect UK aggregate demand and the price level in the short run.

0 4 Extract C (lines 10–13) states that 'sustained competitiveness gains must come from structural improvements in productivity, skills and infrastructure, rather than from relying on exchange rate movements.'

Use the extracts and your knowledge of economics to evaluate the view that changes in the exchange rate are more important than supply-side reforms for improving the UK's balance of payments position.

Do NOT answer Context 2 if you have answered Context 1.

OR

Context 2

Total for this context: 40 marks

UK productivity and economic growth

Study Extracts D, E and F and then answer all parts of Context 2 which follow.

Extract D: UK productivity compared with other advanced economies

Figure 3: Output per hour worked, selected G7 economies, 2023 (US = 100)

Country	Output per hour worked (US = 100)	Annual productivity growth, 2008–2023 (%)
United States	100.0	1.4
Germany	94.6	0.8
France	92.1	0.6
UK	79.3	0.4
Italy	84.7	0.2
Japan	72.5	0.9

Figure 4: UK real GDP per capita and real wages, 2008–2024 (2008 = 100)

Year	Real GDP per capita	Real median weekly earnings	Business investment (% of GDP)
2008	100.0	100.0	10.8
2014	97.3	94.0	10.4
2019	104.4	96.5	10.0
2024	104.1	100.4	9.6

Source: OECD / Office for National Statistics, 2024

Extract E: The UK productivity puzzle

UK labour productivity growth has averaged just 0.4% per year since the 2008 financial crisis, compared with around 2% per year in the preceding two decades. This "productivity puzzle" has been the subject of extensive debate among economists. Proposed explanations include: the decline in North Sea oil and financial services — both previously among the UK's most productive industries; weak business investment, which has fallen from 10.8% of GDP in 2008 to 9.6% in 2024; persistent skills shortages; and the mismeasurement of digital services. The Bank of England has argued that the slowdown reflects a genuine structural problem, while the Office for Budget Responsibility notes a particularly weak performance in UK manufacturing.

Real wages have stagnated alongside productivity: median real earnings were roughly the same in 2024 as in 2008, in contrast to steady growth in the decades before the crisis. Real GDP per capita has barely risen — at around 4% above 2008 levels after 16 years — indicating that average living standards have failed to keep pace with historical norms. The distribution of productivity within the UK is also highly uneven: London and the South East enjoy output per hour comparable to Germany, while productivity in parts of northern England and Wales is significantly below the UK average.

Source: News reports, June 2024

Extract F: Policy responses to the productivity puzzle

Successive UK governments have launched productivity strategies, including the Industrial Strategy of 2017, the Plan for Growth of 2021, and the 2024 Growth Plan. These have emphasised the role of public investment in infrastructure (particularly transport and broadband), R&D; tax credits, technical education reforms (such as T-levels), regional policy ("levelling up"), and measures to encourage business investment. Economists are divided on their effectiveness: some argue that policy uncertainty — including repeated revisions to tax rules — has itself discouraged long-term investment, contributing to the weak business investment performance (Extract D, Figure 4).

An alternative view emphasises deeper structural causes: underinvestment in training, fragmented labour markets with weak worker voice, and regional disparities in infrastructure and human capital. Some economists argue that monetary policy itself has contributed to the productivity slowdown, by allowing "zombie firms" — those unable to cover their interest costs — to survive low interest rates and crowd out more productive entrants. The 2022–2024 monetary tightening was expected by some to force an overdue reallocation of capital toward more productive firms. A 2024 IFS paper argued that without a substantial increase in both public and private investment, the UK's productivity performance is likely to remain weak, limiting long-run living-standards growth.

Source: News reports, October 2024

0 5 Using the data in Extract D (Figure 3), calculate the percentage difference in output per hour between the UK and Germany in 2023. Give your answer to one decimal place. **[2 marks]**

0 6 Explain how the data in Extract D (Figure 4) suggest a connection between weak business investment and stagnant real wages in the UK since 2008. **[4 marks]**

0 7 Extract E (lines 1–2) states that 'UK labour productivity growth has averaged just 0.4% per year since the 2008 financial crisis, compared with around 2% per year in the preceding two decades.' **[9 marks]**

With the help of a diagram showing long-run aggregate supply (LRAS), explain how an increase in labour productivity affects the UK's potential output and price level.

0 8 Extract F (lines 11–13) states that 'without a substantial increase in both public and private investment, the UK's productivity performance is likely to remain weak, limiting long-run living-standards growth.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the view that a sustained increase in government investment is the most effective way for the UK to address its productivity puzzle.

Section B

Answer ONE essay from this section.

Each essay carries 40 marks.

EITHER

Essay 1

Globalisation — the increasing integration of national economies through trade, capital flows and migration — has transformed the world economy over the past four decades. Proponents argue it has lifted hundreds of millions out of poverty and reduced consumer prices. Critics point to job losses in traditional industries, rising within-country inequality, and the exposure of domestic economies to global shocks such as the 2008 financial crisis, the Covid-19 pandemic, and the 2022 energy price shock.

- 0 9** Explain, with the aid of a diagram, how the theory of comparative advantage provides an economic justification for international trade. **[15 marks]**
- 1 0** Evaluate the view that, for the UK economy, the benefits of globalisation outweigh its costs. **[25 marks]**

OR

Essay 2

The Bank of England was given operational independence in 1997, with a remit to meet an inflation target set by HM Treasury — currently 2% on the CPI measure. Since 2021 the UK has experienced its highest and most persistent inflation in over forty years. Some economists have argued that the Bank's response was too slow, others that the shock was primarily supply-driven and could not have been prevented by monetary policy alone.

- 1 1** Explain how the Bank of England uses monetary policy to meet the UK inflation target. **[15 marks]**
- 1 2** Evaluate the view that the Bank of England's mandate should be broadened to include objectives beyond controlling inflation, such as supporting employment or tackling climate change. **[25 marks]**

OR

Essay 3

The 2008 global financial crisis revealed serious weaknesses in the regulation of financial markets. Since 2010, the UK and other advanced economies have developed a framework of macroprudential regulation — including higher bank capital requirements, stress tests, and counter-cyclical capital buffers — aimed at making the financial system more resilient. The failure of Silicon Valley Bank in 2023 and market turbulence following the 2022 UK "mini-budget" have raised new concerns about financial stability.

- 1 3** Explain the main causes of financial market instability in modern economies. **[15 marks]**
- 1 4** Evaluate the view that tighter regulation of the financial sector is the most effective way to reduce the risk of financial crises in the UK. **[25 marks]**

END OF QUESTIONS